

Week ending: 17th September 2021

Weekly Fixed Income Note

Key Highlight:

T-bills remained undersubscribed for the fourth week running with the overall subscription rate decreasing to **54.57%** compared to the **72.65%** recorded last week. We partly attribute the undersubscription to investors preferring the more lucrative and shorter period Term auction Deposits (TADs) and Reverse Repos whose yields averaged at 7.44% for the week.

All the papers were undersubscribed recording subscriptions of **83.79%**, **67.96%** and **29.50%** for the **91, 182 and 364-day** papers, respectively. We continue to see a sustained appetite for borrowing by the government as evidenced by the CBK accepting **99.97%** of the **KES 13.09 Bn** worth of bids received.

The yields on the **91-day** and **364-day** papers maintained their upward momentum edging up by **8.90bps** and **6.80bps** to **6.87%** and **7.84%**, respectively. On the other hand, the yield on the **182-day** paper declined marginally by **0.3 bps** to **7.25%**.

In the secondary market, the value of bonds traded increased by **237.61%** to **KES 40.53 Bn** from **KES 12.00Bn** recorded last week. On a year-to-date basis the yield curve has readjusted upwards in the mid range but held steady in the short and long end of the curve. FTSE Bond index closed the week at **96.91** taking the YTD loss to **1.13%.**

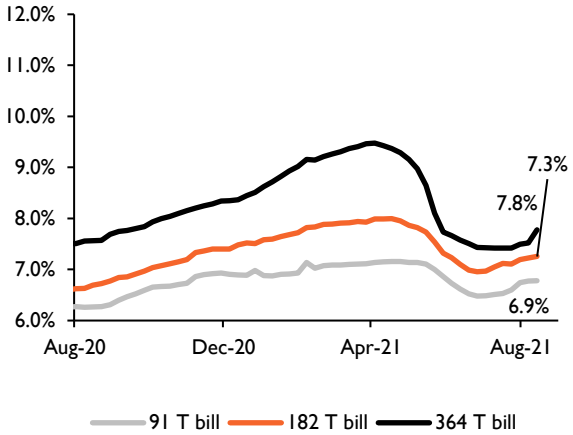
We maintain our expectation of activity in the secondary bond market being driven by investors hunting for higher yields and profit-making opportunities, most preferably on IFBs. Additionally, we expect the near-term government paper issuance will be on the mid range (5–10-year duration) to even out the yield curve. Continued borrowing by the government is likely to put some upward pressure across the yield curve, in the near term.

Macroeconomic data	Current	Previous
GDP (2020 vs. 2019)	(0.30%)	5.00%
Inflation (August)	6.57%	6.55%
Private sector credit growth (June)	7.70%	7.10%
Money Supply (June)	6.30%	7.60%

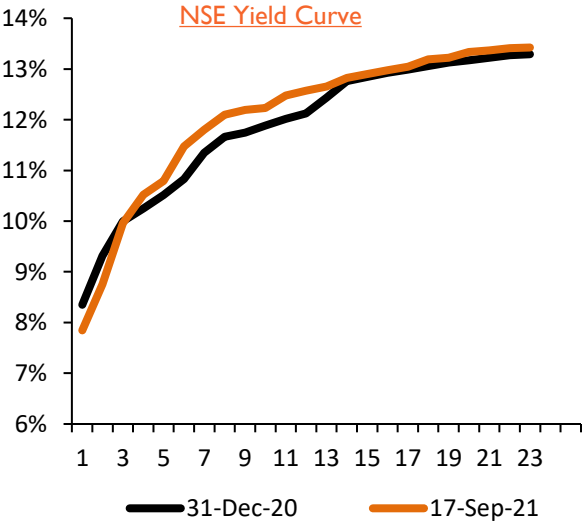
Key Indicators

	Current	Previous	% Change
91- Day	6.87%	6.78%	0.89%
182-Day	7.25%	7.25%	0.03%
364-Day	7.84%	7.52%	0.26%
Interbank Rate	3.93%	3.63%	0.32%

T-Bill Rates



NSE Yield Curve



MACROECONOMIC NEWS

Currency

The Kenya shilling lost ground against the dollar this past week depreciating by **0.20%** to trade at **110.09** from **109.87** at the close of last week. The shilling has depreciated by **0.84%** against the USD on a Year-To-Date basis. The CBK's usable forex reserves currently stand at **USD 9,619** million (**5.89** months of import cover), a marginal **0.10%** week-on-week decline from **USD 9,629** million (**5.89** months of import cover) recorded last week.

We expect the local currency to remain under pressure due to the increase in global oil prices, coupled with reduced dollar inflow from key export earning sectors such as agriculture and tourism.

Liquidity

Liquidity in the money markets tightened, during the week, as evidenced by the average interbank rate increasing to **3.93%** from **3.63%** recorded in previous week. The central Bank was in action to mop up excess liquidity by accepting Reverse Repos of **KES 24.83 Bn**, with the Repo Rates touching **7.80%**.

We expect the interbank rate to remain in the region of 4.00%, in the coming week, mainly driven by tax payments. However, banking sector mobilization of end of quarter deposits should ensure inflows.

Monthly Retail Fuel Prices

The Energy and Petroleum Regulatory Authority (EPRA) released the retail fuel prices for the period beginning 15th September to 14th October 2021. The prices of Super Petrol, Diesel and Kerosene increased by **KES 7.58**, **KES 7.94** and **KES 12.97** per litre to **KES 134.72**, **KES 115.60** and **KES 110.82** per litre, respectively. The increase was attributable to the rise in the Free on-Board price of Murban Crude oil by **8.46%** to **USD 72.34** per barrel in the month of August, coupled with the removal of the government subsidy that had cushioned against price increases in the last few months.

We expect the recent increase to be reflected in the end of the month inflation figures. The absence of the government subsidy may see the retail prices increase further in the next review, as global oil prices have remained elevated. We will keep an eye on the effects of the inflation adjustment on excise taxes for certain commodities proposed by KRA, taking effect on 1st October 2021.

CONTACTS:

Research Desk
Sarah Wanga
Head of Research

Solomon Kariuki
Research Analyst

Email: research@aib-axysafrica.com

Equities Dealing
Bernard Kung'u

Benard Gichuru

Brian Tanui

Samuel Githinji

Sheema Shah

Samuel Wachira

Email: trading@aib-axysafrica.com

Bond Dealing
Crispus Otieno

Titus Marenye

Email:
trading@aib-axysafrica.com

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